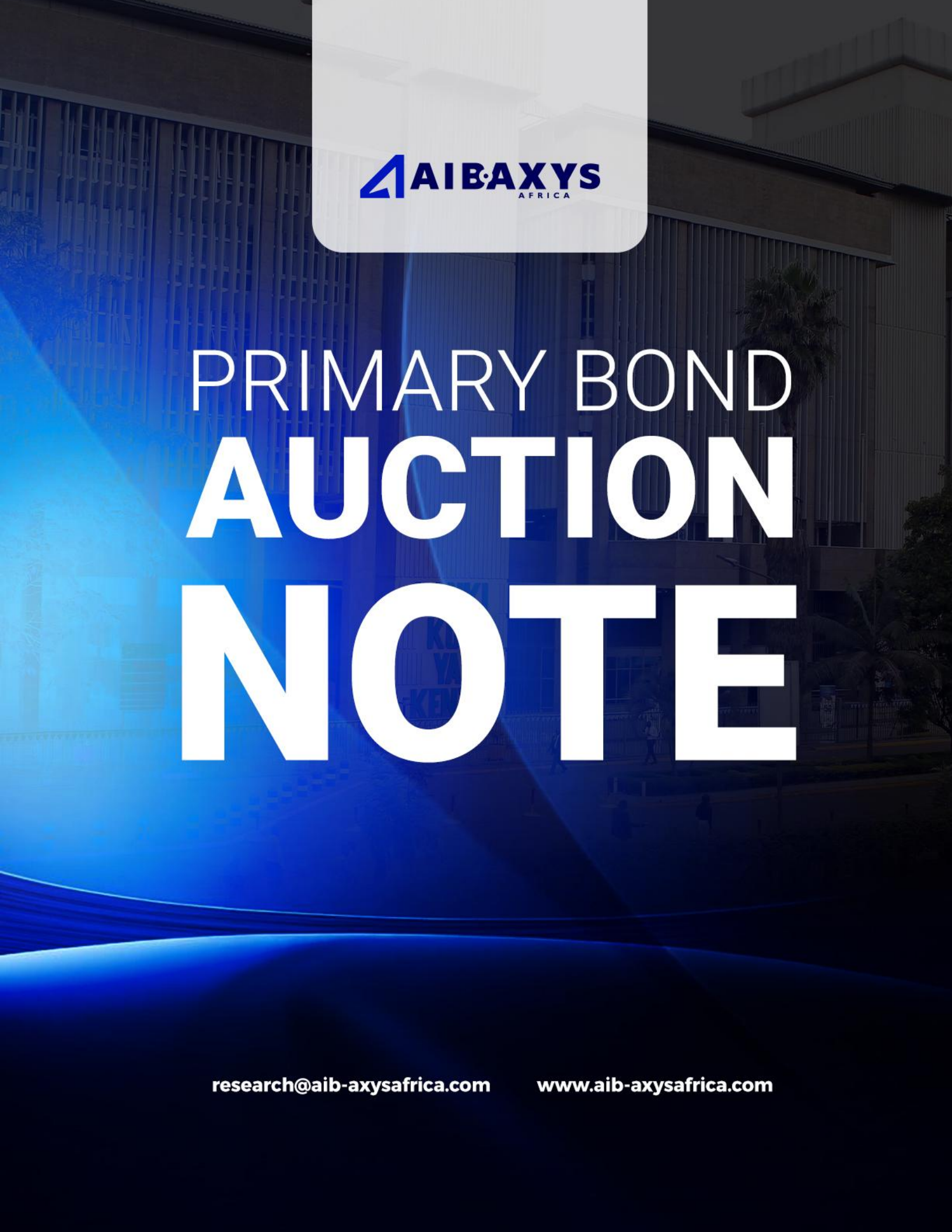

AIB AXYS
AFRICA
PRIMARY BOND
AUCTION
NOTE
research@aib-axysafrica.com
www.aib-axysafrica.com



AIB-AXY February 2026 Primary Bond Auction Note

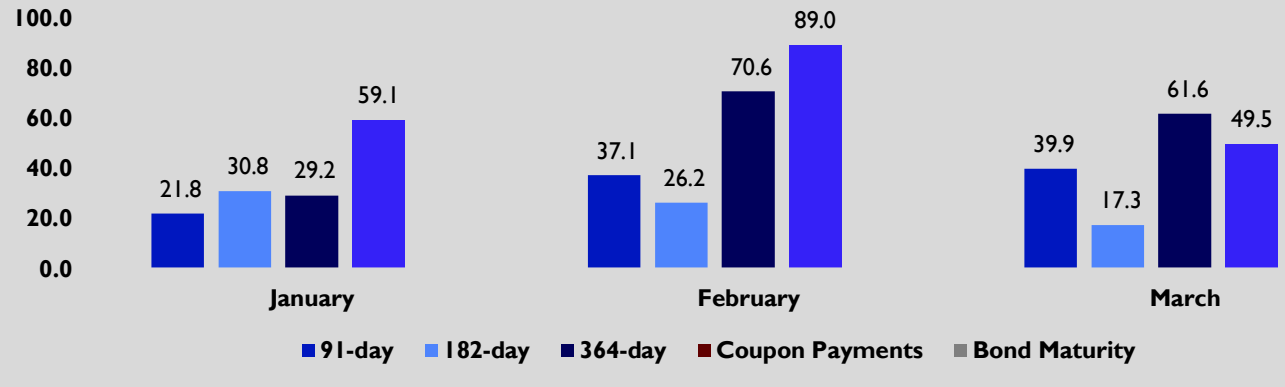
Summary

- **The Exchequer is seeking to raise KES 50.00Bn through the re-opening of the FXD3/2019/015 & FXD1/2018/025** treasury bonds earmarked for budgetary support in FY25/26.
- February presents approximately KES 222.9 Bn in debt obligations, with no bond maturities, and is slightly higher than January's KES 140.9 Bn. We expect sustained investor participation in this auction. Investor appetite is likely to be skewed toward FXD1/2018/025, which has a comparatively higher coupon; falling interest rate environment.
- In the first half of the fiscal year, the government is lagging behind its prorated revenue target. We expect this to compel the government to continue relying on the domestic debt market to cover the deficit. With this in mind, the government has been prudent in managing the cost of its domestic debt, evidenced by the rejection of aggressive bids and the consequent softening of the yield curve. We expect the market to adjust its bidding accordingly.
- **Our recommended competitive bidding yield on the paper is indicated in Table 1 on the right.**

Table 1: Key Auction Highlights

FXD3/2019/015 & FXD1/2018/025	
Issuer:	Republic of Kenya
Total Amount:	KES 50.0 billion
Purpose:	Budgetary Support
Tenor:	**FXD3/2019/015**- (8.4 Years)– Re-opened **FXD1/2018/025**- (17.3 Years)– Re-opened
Coupon Rate:	**FXD3/2019/015** – 12.3400% **FXD1/2018/025** – 13.4000%
Price Quote:	Discounted/Premium/Par
Period of sale:	22nd-Jan-2026 to 11th-Feb-2026
Minimum Amount:	KES 50,000.00
Taxation:	10.00%
Maturity Dates:	**FXD3/2019/015** – 5th-Feb-2035 **FXD1/2018/025** – 25th-May-2043
Non-competitive bids per CSD A/C:	Maximum KES 50 million per CDS A/c
Competitive bid per CSD A/C:	Minimum KES 2 million per CDS A/c
AIB-AXYS Competitive Bidding Range Recommendation:	**FXD3/2019/015 – 12.45%-12.65%** **FXD1/2018/025 –13.35%-13.55%**

Governmnent Obligations Q1 2026 in KES Bn



Term Structure of Interest Rates

So far, longer-term papers have experienced the largest declines on a YTD basis, averaging 38.95 bps, compared with declines of 6.19 bps and 4.33 bps for short- and mid-term papers, respectively. Notably, the 20-year tenor has declined by approximately 55.10 bps.

We expect normalization of the yield curve over the year. Last year, the front end of the curve registered the largest declines, coming from a period when shorter papers were yielding relatively higher. Through the rate-cutting cycle, yields have trended downward across all tenors, a dynamic that has compelled investors to participate in the market on expectations that yields may ease further.

We are of the view that the MPC will still cut rates this year, although not with the same magnitude observed in 2025. At some point during the year, there will be a need to pause and allow the transmission of policy decisions through the economy

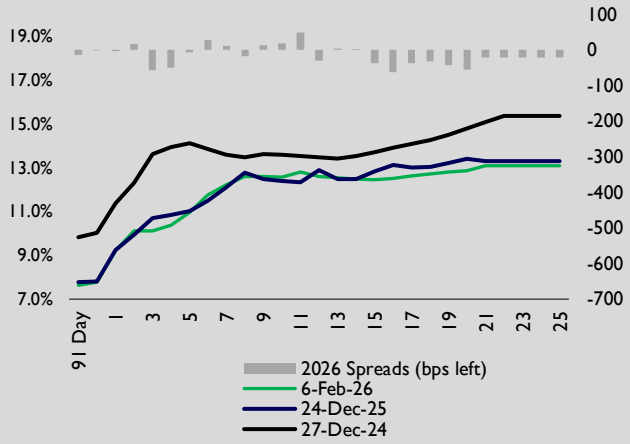
Market Liquidity

The Kenya Shilling Overnight Interbank Average (KESONIA) eased further to 8.9% in January from 9.1% in December, supported by the 25 bps cut in the Central Bank Rate in December. Given the 75-bps interest rate corridor, we expect KESONIA to continue tracking the CBR closely. Trading activity rose by 5.8% m/m, following a slight slowdown in December. Looking ahead, with further rate cuts expected over the year, we anticipate additional downward pressure on KESONIA as monetary easing continues to transmit through the interbank market.

Price Levels

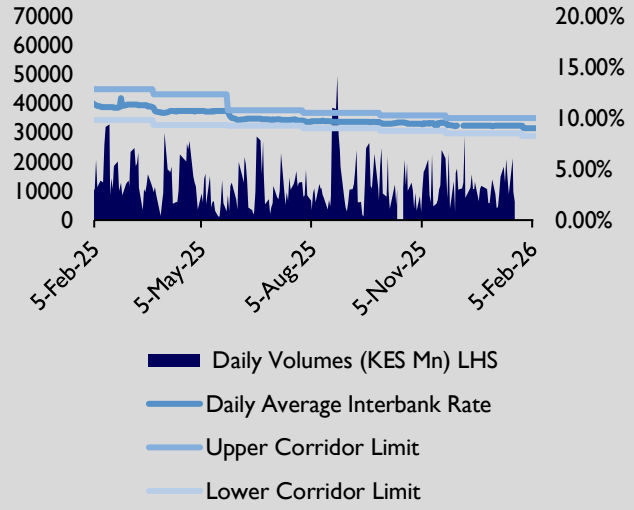
January's inflation eased slightly to 4.4% from 4.5% in December. The price increase was primarily driven by higher costs in Food and Non-Alcoholic Beverages (7.3%), Transport (4.8%), and Housing, Water, Electricity, Gas & Other Fuels (2.2%). Together, these divisions account for over 57.0% of the CPI basket and therefore remain the key drivers of overall inflation trends. On a month-on-month basis, the CPI rose by 0.6%, from 148.02 in December to 148.96 in January, with core inflation increasing to 2.2% while non-core inflation moderated to 10.3%. Looking ahead, inflation is expected to remain anchored within the CBK target range. Supported by a stable exchange rate, good level of stability in fuel prices. However, upside risks persist, driven by elevated food price volatility, higher electricity costs.

Chart 2: Domestic Yield Curve Evolution



Source: CBK, AIB-AXYS Africa Research

Chart 3: Interbank Rate and Volumes



Source: CBK, AIB-AXYS Africa Research

Chart 4: Price Levels

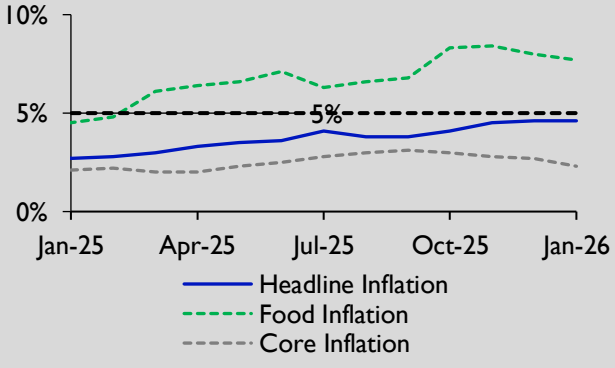
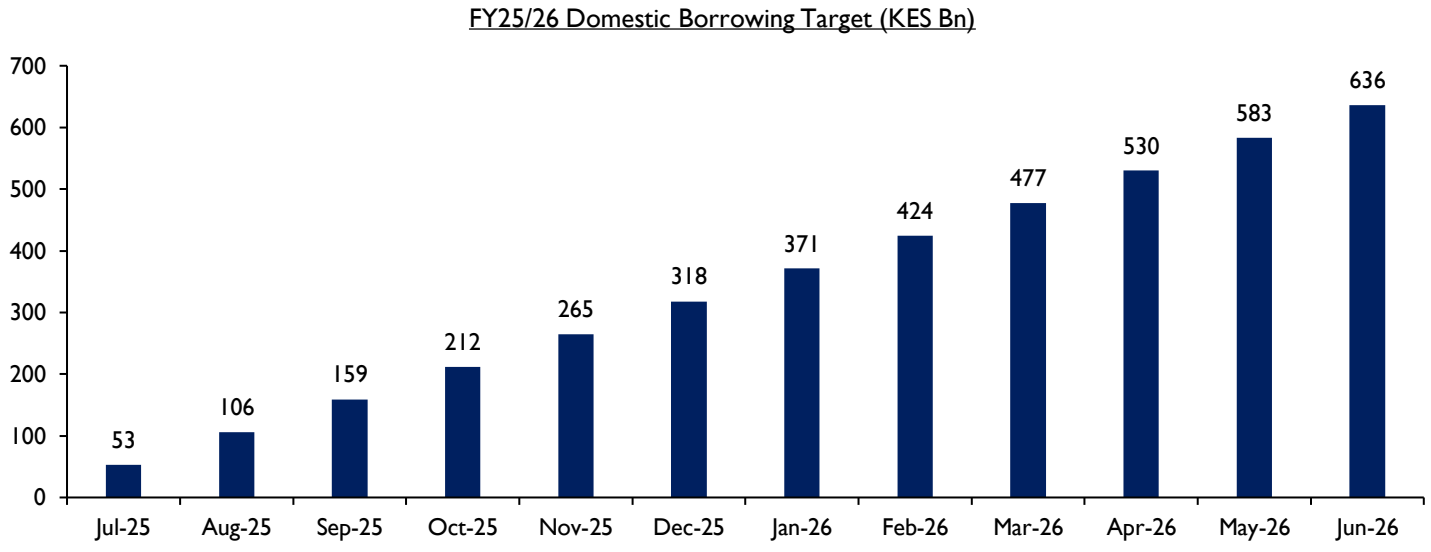


Table 2: Comparable Bond Duration Yields

Issue No.	Maturity Date	Remaining Tenor in Years	Outstanding Amount KES Mn.	Fixed Coupon Rate	Implied Yield to Maturity
Comparable Yields for the FXD3/2019/015 - (8.4 Years)					
FXD2/2019/015	24-April-2034	8.2	81,644.75	12.7340%	12.3100%
FXD3/2019/015	**10-July-2034**	**8.4**	**74,108.38**	**12.3400%**	**12.3607%**
FXD11/2020/015	5-Feb-2035	9.1	151,911.06	12.7560%	12.5000%
Comparable Yields for the FXD1/2018/025 - (17.3 Years)					
FXD1/2021/020	22-July-2041	15.5	129,688.48	13.4440%	12.7085%
FXD1/2018/025	**25-May-2043**	17.3	165,653.46	**13.4000%**	**12.7085%**
FXD1/2021/025	**9-Apr-2026**	20.2	90,490.00	**13.9240%**	**12.3838%**

Source: CBK, AIB-AXYS Africa Research



Source: CBK, AIB-AXYS Africa Research

CBK Previous Primary Bond Auctions

	Offered Amount (KES, Mn)	Paper(s)	Duration at Issuance (yrs)	Performance Rate	Coupon Rate (%)	Market Average Yield (%)	Accepted Average Yield (%)
Feb-25	70,000	IFB1/2022/014 Re-opened	11.8		13.938%	14.086%	13.978%
		IFB1/2023/017 Re-opened	15.1	**277.0%**	14.399%	14.416%	14.281%
Mar-25	25,000	FXD1/2018/025 Re-opened	18.3	**188.1%**	13.400%	13.938%	13.803%
Apr-25	70,000	FXD1/2020/015 Re-opened	9.9		12.756%	13.671%	13.665%
		FXD1/2022/015 Re-opened	12.1		13.942%	13.837%	13.828%
		FXD1/2022/025 Re-opened	22.6	**102.5%**	14.188%	14.237%	14.234%
	10,000	FXD1/2020/015 Tap-sale	9.9	**132.4%**	12.756%		
May-25	50,000	FXD1/2022/015 Re-opened	12.0		13.942%	13.942%	13.913%
		FXD1/2022/025 Re-opened	22.5	**114.2%**	14.188%	14.636%	14.538%
	30,000	FXD1/2012/020 Re-opened	7.6	**181.3%**	12.000%	13.733%	13.649%
Jun-25	50,000	FXD1/2020/015 Re-opened	9.7		12.756%	13.606%	13.487%
		SDB1/2011/030 Re-opened	15.7	**202.7%**	12.000%	14.181%	13.998%
Jul-25	50,000	FXD1/2018/020 Re-opened	12.8		13.200%	13.945%	13.899%
		FXD1/2018/025 Re-opened	18.0	**153.8%**	13.400%	14.435%	14.348%
Aug-25	90,000	IFB1/2028/015 Re-opened	7.5		12.500%	13.530%	12.993%
		IFBI/2022/019 Re-opened	15.6	**359.4%**	12.965%	14.237%	13.999%
		IFB1/2028/015 Tapsale	7.5		12.000%	13.530%	
		IFBI/2022/019 Tapsale	15.6	**414.9%**	12.965%	14.237%	
Sep-25	40,000	FXD1/2018/020 Re-opened	12.5		13.200%	13.724%	13.080%
		FXD1/2022/025 Re-opened	22.2	**243.2%**	14.188%	14.246%	12.782%
Oct-25	50,000	FXD1/2018/015 Re-opened	7.7		12.750%	12.652%	12.385%
		FXD1/2021/020 Re-opened	15.9	**237.8%**	13.444%	13.529%	13.310%
Nov-25	40,000	FXD1/2012/020 Re-opened	7.0		12.000%	12.638%	12.471%
		FXD1/2022/015 Re-opened	11.4	**232.3%**	13.994%	13.467%	13.339%
	40,000	FXD3/2018/015 Re-opened	8.7		12.340%	12.574%	12.746%
		FXD1/2022/025 Re-opened	21.9	**289.7%**	14.188%	13.848%	13.746%
Dec-25	40,000	SDB1/2011/030 Re-opened	15.2		12.000%	13.439%	13.325%
		FXD1/2021/025 Re-opened	20.4	**132.8%**	13.924%	13.643%	13.620%
Jan-26	60,000	FXD1/2019/20 -Reopened	13.2		12.873%	13.329%	13.262%
		FXD1/2022/025 Re-opened	21.8	**119.2%**	14.188%	13.791%	13.756%
Average*	**50,357**		**12.8**	**202.4%**	**13.284%**	**13.752%**	**13.572%**

*Source: CBK, AIB-AXYS Research, *- Yearly average results excludes tap sales*



CONTACTS

Research Desk

Email: research@aib-axysafrica.com

Equities Dealing

Email: trading@aib-axysafrica.com

Bond Dealing

Email: trading@aib-axysafrica.com

Disclaimer

AIB-AXYS Africa and its parent company AXYS Group seek to do business with companies covered in their research reports. Consequently, a conflict of interest may arise that could affect the objectivity of this report. This document should only be considered a single factor used by investors in making their investment decisions. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. The opinions and information portrayed in this report may change without prior notice to investors.

This publication is intended solely for informational purposes and is not authorized for public distribution or use by the public media without prior and express written consent of AIB-AXYS Africa or AXYS Group. Redistribution or dissemination of this material, in whole or in part, is strictly prohibited and may lead to legal actions. By accessing this report, you acknowledge and agree to abide by these terms, ensuring the security and confidentiality of its contents.

This document does not constitute an offer, or the solicitation of an offer, for the sale or purchase of any security. Whilst every care has been taken in preparing this document, no representation, warranty or undertaking (express or implied) is given and no responsibility or liability is accepted by AIB-AXYS Africa or any of its employees as to the accuracy of the information contained and opinions expressed in this report.

Unlock our Exclusive Research spanning Macroeconomics, Equities, Fixed Income, and Sector-Specific Analyses now seamlessly on AlphaSense, LSEG, Tellimer, and S&P platforms

S&P Global Tellimer AlphaSense LSEG